

M/S Sri Dauji Cold Storage Pvt Ltd And Another v. Dakshinanchal Vidyut Vitran Nigam Ltd And Others

Allahabad High Court · Division Bench · 13 December 2018 · Writ - C No. 19592 of 2008 · **Writ petition allowed; Executive Engineer's order dated 29.3.2008 demanding three-times assessment quashed; no order as to costs**

HEADNOTE

A later demand at three times the tariff cannot stand where the surprise check was on 1.11.2004. Section 126(6) of the Electricity Act, 2003 as it then stood capped assessment at 1.5 times the applicable tariff. Following Vijay Pal Singh (Writ-C No. 60987 of 2005, 29.3.2010), the Code's three-times theft-assessment rate was subordinate legislation that could not travel beyond Section 126(6), the Act having overriding effect under Section 174. Licensee's counsel could not dispute that position. The Executive Engineer's order dated 29.3.2008, issued about two years after a 1.5-times final assessment had been served and (on the petitioners' case) deposited, is quashed and the writ allowed.

FACTUAL SUMMARY

M/S Sri Dauji Cold Storage Pvt Ltd (petitioner no. 1), run by petitioner no. 2, held a 150 KVA sanctioned load from the erstwhile U.P. State Electricity Board. On 1 November 2004 a surprise check at the premises found the meter window seal tampered. A provisional assessment issued on 28 September 2005. Petitioner no. 2 filed civil suit no. 1115 of 2005, obtained an interim injunction on 24 December 2005, and also objected to the provisional assessment. He was informed that if he withdrew the civil suit the provisional assessment proceedings would be dispensed with. He applied on 4 April 2006 to withdraw; the suit was dismissed as withdrawn.

A final assessment dated 22 April 2006 for Rs. 7,43,217 followed, which they say they deposited. About two years later, by order dated 29 March 2008, the Executive Engineer, Dakshinanchal Vidyut Vitran Nigam Ltd., Mathura, demanded Rs. 7,33,245 on the footing that the assessment should have been at three times the electricity rate, not 1.5 times. The writ sought quashing of that order.

HOLDING-UNITS

HOLDING-UNIT · EA2003::126

s.126(6) as on 1.11.2004 caps assessment at 1.5 times the tariff, not three times

QUESTION

May the licensee, after a 1.11.2004 check, demand a theft/UUE assessment at three times the tariff when Section 126(6) then provided 1.5 times?

HOLDING

No. On 1.11.2004, the date of surprise inspection, Section 126(6) provided assessment at 1.5 times the normal tariff, not three times. The 15.6.2007 amendment raising the statutory multiple to twice did not govern that checking date. Following Vijay Pal Singh, and as licensee's counsel could not dispute, the Executive Engineer's 29.3.2008 demand at three times is illegal. That order is quashed and the writ allowed. ¶ [unnumbered order](#)

QUALIFIER

Unamended (pre-15.6.2007) 1.5-times text of s.126(6). The Court did not remand for a fresh assessment; the petitioners' case was that they had already deposited the 22.4.2006 1.5-times final assessment of Rs. 7,43,217.

FLAG Source PDF concatenates stay-vacation, listing, dismissal for non-prosecution (22.9.2011) and restoration (31.1.2012) orders from 8.2.2010 to 6.12.2018; the operative judgment is 13.12.2018 (unnumbered). Checking on 1.11.2004 pre-dates the 2005 Code; the Court's own ratio is the unamended s.126(6) rate on that date. Catalog hits UP-2005::4.5(d), 6.12 and 8.2(x) do not fit.

HOLDING-UNIT · EA2003::174

s.174 gives the Act overriding effect; a Code three-times rate cannot exceed s.126(6)

QUESTION

Can a Supply Code clause assessing theft at three times the tariff prevail over Section 126(6)'s 1.5-times cap?

HOLDING

No. The Court adopted *Vijay Pal Singh*: Section 174 gives the Act overriding effect, and the Code, being subordinate legislation framed under the Act, cannot travel beyond Section 126(6). A three-times Code rate contrary to the then 1.5-times statutory cap cannot be enforced. Licensee's counsel could not dispute those provisions as already considered in *Vijay Pal Singh*. ¶ [unnumbered order](#)

INTERPLAY · UP-2005::8.2

Code's three-times theft-assessment rate (quoted as unamended 8.2(iv)) is ultra vires s.126(6)

QUESTION

Does unamended Clause 8.2(iv) of the 2005 Code, prescribing three times the tariff for theft assessment, survive Section 126(6)?

HOLDING

No, as applied via *Vijay Pal Singh*, which the Court followed. That Division Bench held that unamended Clause 8.2(iv) (three times) was contrary to Section 126(6) (1.5 times) and ultra vires by Section 174; the Commission's 3rd amendment of 14.9.2006 later aligned the Code at 1.5 times. This Bench quashed the 29.3.2008 three-times demand on that law. It did not independently construe Clause 8.2 on these facts. ¶ [unnumbered order](#)

FLAG The quoted *Vijay Pal Singh* extract mixes 8.1(iv), 8.1(b)(iv) and 8.2(iv); keyed to catalog UP-2005::8.2 as in SCJ-227. Checking here was 1.11.2004 (2002 Code still in force); Pankaj Kumar (relied on by the petitioner) had read s.126(6) against the 2002 Code. The Court rested on *Vijay Pal Singh* and s.126(6), not on a 2002-Code clause.

PRINCIPLE TAGS

three-times-theft-assessment-at-1.5x-tariff-not-thrice On a 1.11.2004 check, unamended s.126(6) fixes assessment at 1.5 times the tariff. A later Executive Engineer demand at three times is quashed. Same cluster as SCJ-227, SCJ-228, SCJ-638, SCJ-640. Lead authorities: *Vijay Pal Singh & Another v. Dakshinanchal Vidyut Vitran Nigam Ltd & others*. ¶ [unnumbered order](#)

supply-code-regulation-cannot-exceed-parent-act-s174-overriding *Vijay Pal Singh* applied: by s.174 the Act overrides; a Code three-times theft-assessment rate cannot travel beyond s.126(6)'s 1.5-times cap. Licensee's counsel could not dispute that holding. Lead authorities: *Vijay Pal Singh & Another v. Dakshinanchal Vidyut Vitran Nigam Ltd & others*. ¶ [unnumbered order](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE PETITIONERS COULD BE ASSESSED A SECOND TIME AFTER DEPOSITING THE 22.4.2006 FINAL ASSESSMENT OF RS. 7,43,217

First contention: they had already undergone assessment, accepted the 22.4.2006 order and deposited, so they cannot be made to suffer twice for the same cause. The Court quashed 29.3.2008 on the 1.5-times statutory cap, without a separate finding on double assessment or on whether the amount was in fact deposited. ¶ [unnumbered order](#)

NOT DECIDED — EFFECT OF THE 15.6.2007 AMENDMENT OF S.126(6) RAISING THE RATE TO TWICE THE TARIFF, AND OF THE COMMISSION'S NOT ALIGNING CLAUSE 8.1(B)(IV)

Quoted from *Vijay Pal Singh* as left open there. Checking here was 1.11.2004, so only the unamended 1.5-times text applied. ¶ [unnumbered order](#)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Pankaj Kumar v. Kanpur Electric Supply Company and others</i> Civil Misc. Writ Petition No. 58317 of 2005, 23.9.2005 Allahabad High Court (Single Judge)	Interpreting Section 126(6), assessment ought to have been made at one-and-a-half times the tariff and not three times as per the U.P. Electricity Supply Code, 2002.	Relied on by the petitioner. The Court recorded the holding but decided the writ by following <i>Vijay Pal Singh</i> . ¶ unnumbered order	Petitioner	Relied on
<i>Vijay Pal Singh & Another v. Dakshinanchal Vidyut Vitran Nigam Ltd</i>	Unamended Code Clause 8.2(iv) assessing theft at three times the tariff was contrary to Section 126(6)	Followed. Long extract quoted. Licensee's counsel could not dispute the statutory provisions	Court	Followed

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>& others</i> Writ - C No. 60987 of 2005, 29.3.2010 Allahabad High Court (DB)	(1.5 times) and ultra vires by Section 174; the petitioner was directed to pay 1.5 times the tariff applicable on the checking date. The effect of the 15.6.2007 amendment of s.126(6) to twice, without a matching Code amendment, was left open.	already considered in this decision. The 29.3.2008 three-times demand was quashed on that law. ¶ unnumbered order		

SCJ-678 · M/S Sri Dauji Cold Storage Pvt Ltd And Another v. Dakshinanchal Vidyut Vitran Nigam Ltd And Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.